

5th causes of action with ten (10) days leave to amend. As to the punitive damages claim, the motion is granted with ten (10) days leave to amend, contingent upon the amendment of the 6th cause of action.

The ten (10) days leave to amend is from the date of service of the notice of ruling or service of the signed order, whichever is first.

Moving party is ordered to give notice.

5.

CASE #	CASE NAME	HEARING NAME
CVRI2604148	FERRARI FINANCIAL SERVICES, INC. vs LEE	APPLICATION FOR WRIT OF POSSESSION

Tentative Ruling:

The application for a temporary restraining order (and writ of possession after hearing) is denied. Although a Notice of Application for Writ of Possession and Hearing was filed on September 3, 2026, there is no proof of service filed and there is nothing to show that defendants were given any notice.

6.

CASE #	CASE NAME	HEARING NAME
RIC2000374	THE CITY OF JURUPA VALLEY vs BRACKINS	MOTION FOR ORDER APPROVING RECEIVER'S FINAL REPORT AND FINAL ACCOUNTING, RECEIVER'S FEES AND COSTS AND DISCHARGING RECEIVER

Tentative Ruling:

A receiver is an agent and officer of the court, and “is obligated to preserve and manage the property during the course of the receivership.” (*Southern California Sunbelt Developers, Inc. v. Banyan Limited Part.* (2017) 8 Cal.App.5th 910, 922.) They “are entitled to compensation for their own services and the services performed by their attorneys. ... Generally, the costs of a receivership are paid from the property in the receivership estate. ... However, courts may also impose the receiver costs on a party who sought the appointment of the receiver or apportion them among the parties, depending upon circumstances.” (*Ibid.* [internal quotations and citations omitted].) “A receivership terminates upon completion of the duties for which the receiver was appointed; or at any other time upon court order.” (Ahart, *California Practice Guide: Enforcing Judgments & Debts* §4:940 (Rutter Group 2023.) A receiver must present by noticed motion or stipulation of all parties: (1) a final account and report; (2) a request for the discharge; and (3) a request for exoneration of the receiver’s surety. (Cal. R. Ct. 3.1184(a)(1)-(3).) If any allowance of compensation for the receiver is claimed in an

account, it must state in detail what services were performed, and whether previous allowances have been made to the receiver, and the amounts. (CRC, Rule 3.1184(d).) Any party may file objections to the account or claims against the receivership estate. (See, *Aviation Brake Systems, Ltd. V. Voorhis* (1982) 133 Cal.App.3d 230, 232.) “Before the court rules on the final accounting, the parties may question, and the court must consider, issues such as whether the receiver exceeded his or her authority, caused injury to others, or acted negligently in operating the receivership estate.” (*Southern California Sunbelt Developers, Inc. v. Banyan Limited Part.* (2017) 8 Cal.App.5th 910, 926.) The amount of the receiver’s fee or compensation and expenses and attorneys’ fees properly chargeable against the receivership property is within the sound discretion of the trial court. (See *City of Chula Vista v. Gutierrez* (2012) 207 Cal.App.4th 681, 686; *Melikian v. Aquila, Ltd.* (1998) 63 Cal.App.4th 1364, 1368.) In the present case, the Receiver was appointed in October 2021, on a motion brought by City, to enforce the preliminary injunction, preserve the Property, and protect City’s rights. (Decl. of Eric. P. Beatty [“Beatty Decl.”] at ¶ 3, Ex. B.) On July 14, 2026, he filed a Final Report and Final Accounting (the “Final Report”) and now seeks court approval and recovery of fees and costs totaling \$81,097.23 (\$27,000 of which has been paid + \$53,614.71 additional sought by this motion). The Receiver presents evidence that he secured the Property and completed removal of the inoperable vehicles, trash, and unpermitted/abandoned property thereon in December 2021. (Beatty Decl. at ¶ 10.) At this time, the only remaining item on the Property was a dilapidated fifth wheel trailer that the City had removed in approximately August 2024. (*Id.* at ¶¶ 10-11; Decl. of Valerie D. Escalante Troesh [“Troesh Decl.”] at ¶ 5.) Receiver states that the bulk of the compliance work was completed in December 2021, and after that time, he performed two inspections of the Property, his staff performed four inspections, and he arranged for a maintenance vendor to perform twice monthly inspections at an average cost of \$260 per month. (Beatty Decl. at ¶ 25.E.i.) The total fees incurred by the Receiver through December 2021 were \$10,745.51. (Beatty Decl., Ex. G, December 2021 Interim Report.)

The bulk of the compliance work was completed by December 2021, but an additional more than \$70,000 is being sought as incurred after that time.

Although there appears to be consensus that many of the fees were incurred due to the delay in the sale of the Property, there is disagreement as to the reason for the delay. The Receiver contends the delay was the result of the City’s refusal to reduce its cost recovery; its unrealistic assessment of the Property’s value, insisting it should sell for at least \$100,000 despite being virtually inaccessible due to zoning; and its general lack of responsiveness and direction to the Receiver. (Beatty Decl. at ¶ 25.C., Exs. H-O.) The City, on the other hand, argues that as soon as the Receiver advised it and the Court in September 2023 of its efforts to sell the Property, the City assisted the Receiver by obtaining information and vetting the options for the Property, asking for information about a sale price and potential proceeds from the sale, and considering the viability of a variance to sell the Property for a higher value. (Troesh Decl. at ¶ 6, Ex. B.) It also argues that the sale was delayed because the Receiver refused to list the Property on the open market, and the Receiver requested continuances from the Court for over a

year to solicit purchase offers and/or continue discussions with potential buyers. (Troesh Decl. at ¶ 7-8.) It appears from the evidence presented that both the City and the Receiver contributed to the delay in the sale of the Property. However, the Receiver controlled how the Property would be sold, including opting not to put it on the open market. If he believed the City was unreasonably delaying the sale of the Property, he could have petitioned the Court for approval of a sale well before January 2026, but he did not.

As the Receiver appears to have contributed to the delay more so than the City without sufficient reason or explanation how it was reasonable to incur over \$70,000 in fees and costs after completing the bulk of the duties of the appointment [Beatty Decl. at ¶¶ 10, 25.E.i.], the amount billed after December 2021 is reduced by **\$17,587.93**.

In addition, City correctly points out that Receiver charges a “surcharge” of 15% on monies he advanced, despite never obtaining approval from the Court for such surcharges. These surcharges total **\$3,396.95** over the time period from February 2022 to June 2026. (See, Beatty Decl., Ex. G.) The fees and costs requested are reduced by this amount as well.

The motion is granted in part, denied in part. The denial is only as to the amount of Receiver fees and costs, which is awarded in a reduced amount.

The Final Report is approved. The Final Accounting is approved in part, subject to the reduction in fees and costs.

Receiver fees and costs are approved in the reduced but reasonable amount of \$60,112.35 (\$81,097.23 – [\$17,587.93+\$3,396.95]). Of this amount of \$60,112.35, Receiver has already received an interim payment of \$27,000. Thus, of the remaining amount due to Receiver in the amount of \$33,112.35, it shall be paid to Receiver as follows:

- 1. \$482.52 from the cash on hand in the Receivership Estate**
- 2. \$32,629.83 from the City**

City is ordered to pay the amount of \$32,629.83 within thirty (30) days of entry of this order.

Receiver’s undertaking is exonerated, and Receiver is discharged.

The court further sets an Order to Show Cause on all parties Re: Dismissal For Nothing Further to Litigate Upon Discharge of Receiver on November 19, 2026, at 8:30 a.m.